



Qualification Programme Examination Panelist's Report

Module 6 – Financial Accounting (June 2025 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

Section A consisted of 15 multiple choice questions which assessed the candidates' knowledge in the following topics:

Question 1	HKAS 16 <i>Property, Plant and Equipment</i>
Question 2	HKFRS 9 <i>Financial Instruments</i>
Question 3	HKAS 2 <i>Inventories</i>
Question 4	HKFRS 9 <i>Financial Instruments</i>
Question 5	HKAS 12 <i>Income Taxes</i>
Question 6	HKAS 21 <i>The Effects of Changes in Foreign Exchange Rates</i>
Question 7	HKAS 37 <i>Provisions, Contingent Liabilities and Contingent Assets</i>
Question 8	<i>Conceptual Framework for Financial Reporting</i>
Question 9	HKFRS 15 <i>Revenue</i>
Question 10	HKAS 40 <i>Investment Property</i>
Question 11	HKFRS 15 <i>Revenue</i>
Question 12	HKAS 36 <i>Impairment of Assets</i>
Question 13	HKFRS 5 <i>Non-current Assets Held for Sale and Discontinued Operations</i>
Question 14	HKFRS 16 <i>Leases</i>
Question 15	HKFRS 13 <i>Fair value Measurement</i>

Questions 1 to 10 focussed on relatively straightforward concepts or calculations, each carrying a weight of 1 mark. In contrast, questions 11 to 15 addressed more complex concepts or computations and were allocated 2 marks each.

Specific Comments

Candidates exhibited weaknesses in the following areas:

HKFRS 16	Understanding of lease payment concepts from the lessee's perspective
HKFRS 13	Application of the concept of principal markets in fair value measurement
HKFRS 5	Comprehension of the measurement requirements of HKFRS 5
HKFRS 15	Accounting for transactions involving a refund liability
HKAS 12	Calculation of the tax base of a liability and recognition of deferred tax asset/liability



(II) Section B – Written Questions

General Comments

Overall performance in Section B of the session was average. Some candidates displayed adequate preparation, especially in areas such as consolidation and the preparation of the statement of cash flows, where their understanding and application of principles were evident. However, a significant number of candidates struggled with conceptual questions, indicating a general weakness in grasping underlying accounting concepts. This suggests that while technical skills in specific topics were reasonably strong among some, there is a need for a greater emphasis on developing conceptual understanding across the cohort.

Specific Comments

Question 1 – 28 marks

Part (a) assessed candidates' understanding of the definition of an associate and the accounting treatment required under HKAS 28 *Investments in Associates and Joint Ventures*. Candidates were able to identify and apply the relevant facts from the case to support their responses. However, many demonstrated weaknesses in linking these facts to the specific accounting requirements, such as the concept of significant influence. On a positive note, it was encouraging to observe that candidates generally recognised that the equity method should be used to account for investments in associate in the consolidated financial statements.

Part (b) assessed candidates' ability to prepare a consolidated statement of financial position in accordance with HKFRS 10 *Consolidated Financial Statements*. This consolidation task required candidates to address several key areas, including a fair value adjustment, the calculation of goodwill and non-controlling interest using the "full goodwill" method, a downstream intra-group transfer of inventories, and the application of the equity method for investment in an associate, including a fair value adjustment, dividend distribution, and capitalisation of profits.

This was a typical consolidation question, and overall, candidates' performance was satisfactory. Quite a number of candidates were able to competently handle the basic computations, such as the calculation of goodwill and the fair value differential as at the acquisition date. It was encouraging to see that candidates generally provided clear workings for their consolidation adjustment journal entries and showed improvement in the allocation of profits to non-controlling interests.

However, there were notable weaknesses in dealing with intra-group sale of inventories. Several candidates displayed limited understanding of how to identify and adjusted for unrealised profit arising from such sale, particularly in relation to its impacts on consolidated inventories. Moreover, some candidates who were able to compute the unrealised profit attributed incorrectly this adjustment to non-controlling interests, reflecting a misunderstanding of the principles involved in intra-group transactions.



With respect to the application of the equity method, most candidates were able to correctly capitalise the profits earned by the associate. Despite this, many encountered difficulties in correcting the dividend income recorded by the parent, and a significant number of candidates were not aware of the requirement to present investment in associate separately in the consolidated statement of financial position.

In summary, it is strongly recommended that candidates develop a thorough understanding of the mechanics of consolidation, particularly through the preparation and interpretation of consolidation adjustment journal entries, as this remains a critical area of assessment in Module 6, especially with the transition to computer-based examinations.



Question 2 – 28 marks

Part (a) required candidates to explain the definition of an intangible asset and the recognition criteria under HKAS 38 *Intangible Assets*, applying these principles to a straightforward case scenario. Many candidates struggled with these conceptual questions, particularly in differentiating between the definition of an intangible asset and its recognition criteria. Further, there was insufficient understanding of the treatment of internally generated brand name and training costs which are common scenarios encountered in practice. Overall, performance in this part was disappointing and highlights the need for a stronger grasp of the fundamental concepts and application of HKAS 38.

Part (b) required candidates to prepare a statement of cash flows in accordance with HKAS 7 *Statement of Cash Flows*. Overall, candidates performed at an average level. Most were able to identify and classify the three main types of activities in a statement of cash flows. Performance was generally stronger in the area of cash flows from operating activities, particularly in making working capital adjustments.

However, candidates struggled with more sophisticated calculations, such as determining the cash outflows for the purchase of property, plant, and equipment (and intangible assets), as well as calculating dividends paid. Furthermore, many candidates showed a lack of understanding regarding the treatment of fair value changes in investments, which should not be reflected as having a cash flow impact.



Question 3 – 12 marks

Part (a) required candidates to outline the objective of general-purpose financial reporting and to explain the fundamental qualitative characteristics that make information useful, as set out in the *Conceptual Framework for Financial Reporting*. Performance on this question was unsatisfactory, as many candidates were unable to demonstrate a sufficient understanding of these principles and concepts. Instead of addressing the specific requirements, many responses were vague or overly general, focussing on notions such as providing a “true and fair view” or simply listing the elements of a complete set of financial statements.

Part (b) assessed candidates’ ability to address a scenario involving a change in the useful life of a plant asset. While most candidates who attempted this part could produce reasonable calculations, a significant number failed to discuss the issue in accordance with HKAS 8 *Accounting Policies, Changes in Accounting Estimates and Errors*. Consequently, many responses did not comprehensively provide the required explanation of the appropriate accounting treatment for a change in useful life.



Question 4 – 10 marks

Parts (a) and (b) required candidates to apply their knowledge of basic earnings per share and diluted earnings per share, under HKAS 33 *Earnings Per Share*, in a straightforward scenario involving the mid-year issue of shares and share options granted to directors. Overall, performance in these parts was unsatisfactory.

In part (a), many candidates struggled with the calculation of the weighted average number of shares outstanding, indicating a lack of understanding of how to properly account for shares issued partway through the period. In part (b), there was considerable confusion regarding the impact of share options on diluted earnings per share. A significant number of candidates incorrectly believed that share options only affect the calculation of diluted earnings per share when they are actually exercised by the directors, rather than when they are potentially dilutive. Further, many candidates failed to assess whether the share options were dilutive by utilising the facts provided in the case, specifically the relationship between the average market price of the shares and the exercise price of the options.

Part (c) built on the earlier scenario and required candidates to explain whether the granting of options to directors constituted a related party transaction under HKAS 24 *Related Party Disclosures*. Although this question was relatively straightforward, a notable number of candidates did not attempt it. Among those who did, most were able to reach the correct conclusion.

(III) Conclusion and Recommendation

This examination places a strong emphasis on technical knowledge of accounting standards, and there is no short-cut to effective preparation. Candidates must thoroughly understand the mechanics of business transactions and be able to link these to the relevant accounting standards in order to apply the correct accounting treatment. Relying solely on “common sense” is insufficient, as technical accuracy and reference to applicable standards are essential for achieving the correct conclusions.